

TENTATIVE RULING(S) FOR September 18, 2026

Department S37 – Judge Winston Keh

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CIVSB2129670

City of Chino v. Hegwald et al

TENTATIVE RULING(S):

This litigation concerns the property at 12977 Magnolia Ave., Chino (Subject Property). On October 18, 2021, Plaintiff City of Chino (City) filed its Complaint against Defendants Donald Hegwald (deceased) [Donald], Ok Sun Hegwald (deceased) [Decedent], and Bobby Hegwald (Doe 1) [Hegwald]. The Complaint pleads 3 causes of action: (1) violation of State Housing Law and receivership, (2) nuisance, and (3) nuisance per se.

Decedent died while this litigation was pending. After her passing, City added Bobby Hegwald, Decedent and Donald's son, and the purported heir/beneficiary of the Subject Property.

The Complaint alleges that Donald and Decedent owned the Subject Property, which consists of a single-family home. The Subject Property had health, safety, sanitation, electricity, and fire hazards. It contains unpermitted and unlawful conditions (i.e., unpermitted gazebo, tool shed, patio, and patio enclosure, faulty weather protection, dilapidated exterior paint, missing smoke detectors and carbon monoxide alarms) that

pose a danger to the occupants, surrounding community, and public. Since March 2020, the City has inspected the property and issued notices of violations, administrative citations, correction notices, and notices to repair or abate. Decedent failed to remediate (§§4-5, 10, 12-19, 23).

By stipulated order, Receiver Beatty was appointed on June 13, 2022. However, the City and Decedent agreed that the Receiver's duties would be stayed while she made efforts to rehabilitate her property. The stay was lifted on January 13, 2023.

During the ensuing months, the relationship between the City and Receiver Beatty somehow deteriorated to the point where the City formally asked the Court to replace Receiver Beatty. On July 6, 2026, the Court granted the City's Motion to replace Receiver Beatty with Richardson Griswold (Replacement Receiver or Griswold).

On July 27, 2026, Former Receiver Beatty filed his Final Report and Accounting. Plaintiff City and Replacement Receiver filed oppositions on August 4, 2026, and August 6, 2026, respectively. On August 6, 2026, Former Receiver Beatty filed his Motion for Approval of Final Report and Accounting, Approval of Receiver's Fees and Costs, Exonerating the Receiver's Undertaking, and Discharging the Receiver. Defendant Hegwald filed an opposition, supplemental declaration, and supplemental opposition on August 18, August 24, and September 9. Plaintiff City and Replacement Receiver filed separate oppositions to the motion on September 4, 2026. Former Receiver Beatty replied on September 14, 2026.

DISCUSSION

Statement of the Law

After termination of the receiver's duties, the receiver must make his final report and accounting and set a hearing upon notice. (*County of Sacramento v. Rawat* (2021) 65 Cal.App.5th 858, 865.) Discharge occurs upon an order or decree from the Court so directing. (*Hanno v. Superior Court* (1939) 30 Cal.App.2d 639, 641.)

To be discharged, the Receiver must present either by noticed motion or stipulation of all parties a final account and report, a request for discharge, and a request for exoneration of the receiver's bond. (Rules of Court, rule 3.1184(a).) No memorandum is required unless ordered by the Court. (Rules of Court, rule 3.1184(b).) The notice must be given to every person or entity known to the receiver to have a substantial, unsatisfied claim that will be affected by the order or stipulation, whether the person or entity is a party to the action or has appeared in it. (Rules of Court, rule 3.1184(c).) Whether to approve a receiver's final accounting and discharge the receiver is within the trial court's discretion. (*County of Sacramento v. Rawat*, supra, 65 Cal.App.5th at pg. 866.)

The receiver is entitled to compensation for his services and the services performed by his attorneys. (*City of Chula Vista v. Gutierrez* (2012) 207 Cal.App.4th 681, 685.) If the receiver seeks compensation for himself or any attorney employed by him, the final report must state in detail what services have been performed by the receiver or the attorney and whether previous allowances have been made to the receiver or attorney, and the amounts. (Rules of Court, rule 3.1184(d).) Generally, a receiver is paid from the profits of the receivership estate. (*City of Chula Vista v. Gutierrez*, supra, 207 Cal.App.4th at pp. 686-87.) The compensation allowed for the receiver and his attorneys is within the sound discretion of the trial court. (*City of Sierra Madre v. SunTrust Mortgage, Inc.* (2019) 32 Cal.App.5th 648, 657.)

Analysis

1. Final Accounting

Former Receiver Beatty filed his Final Report and Accounting, which details the receipts and payments made. The total income for the Receivership Estate was \$251,680.77, which consisted of the approved

\$219,755 loan under a Certificate of Indebtedness, and \$31,925.77 advanced money from Former Receiver. (Final Accounting at p. 3, §II, and Exhs. G, H-I, K-L.) The Final Accounting identifies total payments of \$206,251.29. (Final Accounting at pp. 5-10, §V, and Exhs. K-L.) The Final Accounting and declarations contain a discrepancy concerning the resulting cash balance, with \$45,429.48 reflected by subtracting the identified payments from total income and \$45,429.81 identified elsewhere as the amount wired to the Replacement Receiver. (Final Accounting at Exh. K; Beatty Decl. at ¶57; Beatty Reply Decl. at ¶29.) The accounting is therefore approved subject to reconciliation of the \$0.33 discrepancy.

For purposes here, the court assumes the receiver is honest until the contrary appears. (*County of Sacramento v. Rawat* (2021) 65 Cal.App.5th 858, 865.)

City.

In its Oppositions, the City attacks the interim fees previously approved. That argument will be addressed below when analyzing Former Receiver's recoverable fees and costs.

The City also seeks to surcharge the Receiver related to 3 cost items within the interim and final accounting: (1) storage fees (\$8,335.05) [Final Accounting, Exh. K], (2) permit costs (\$1,361.90) [Final Accounting, Exh. K], and (3) miscellaneous charge (\$7,564.93).

Concerning the miscellaneous charge, in his Reply, Beatty notes that it was a payment made to him for reimbursement for advanced costs. (Beatty Reply Decl. at ¶28.) The \$7,564.93 is treated as an amount already paid to Beatty and credited against the total fees and costs awarded below. The City has not established that the reimbursement itself was improper.

Concerning the storage fees, the City argues that they were unnecessary, and incomplete accounting for the storage expenses exists.

Rules of Court, rule 3.1181, subdivision (a), requires that within 30 days of a receiver's appointment, he must file an inventory containing a complete and detailed list of all property taken into his possession. Subdivision (b) requires a supplemental inventory to be filed promptly when he obtains subsequent property.

The problem for Plaintiff City is that it offers no evidence of when Beatty took possession of any of the property placed in storage to establish noncompliance with Rule 3.1181.

Furthermore, the implication is that 4 inoperable vehicles were taken from the property and placed in storage in September 2025. (Beatty Reply Decl. at ¶26.) This was disclosed in the 4th interim report filed on September 22, 2025. Also, the 4th interim report noted that the storage units rented were so Decedent and/or Hegwald could put items in for storage, thereby implying Beatty never took possession of the personal items stored in the units.

Finally, the 6th interim report, filed on February 20, 2026, disclosed that Receiver Beatty's staff were inventorying and placing a large volume of personal property in storage. An inventory was filed with the Court on May 7, 2026. The record does not establish when the inventorying commenced or otherwise demonstrate that Rule 3.1181 was violated.

During the rehabilitation plan, Decedent and/or Hegwald would be required to vacate the premises so the rehabilitation work could be done without any interference. As indicated above, personal property within the home needed to be removed so the rehabilitation work could be completed. Furthermore, salvageable material within the yard needed to be stored. The City points to no order that authorized Beatty to remove and sell any household items. Decedent and/or Hegwald had the right to keep their personal property, including inoperable vehicles. Yet to perform the rehabilitation work, those items needed to be removed and stored. Thus, it cannot be said the storage fees are unnecessary, and the costs should not be surcharged against Receiver Beatty.

Concerning the permit costs, the City argues that Receiver Beatty obtained permit fees that were allowed to expire and were not permitted. However, Beatty notes that obtaining permit fees is part of the City's process for obtaining rehabilitation building approvals, which were needed to obtain contractor bids. (Beatty Reply Decl. at ¶14.) Furthermore, his appointment order (p. 4, ¶7) authorized him to apply for permits and other governmental approvals to undertake and complete the rehabilitation of the Subject Property. In construing all facts and evidence, the permit fees were not improper, unreasonable, or without authority. Thus, there is no reason to charge those fees back to the Receiver.

Griswold.

In his Opposition to the Final Accounting, Replacement Receiver Griswold raised that he was not provided with all financial information, including bank account numbers and statements. (Griswold Acct Decl. at ¶¶5-6.) However, those records were produced sometime between the Opposition to the Final Accounting and the Opposition to the Approval Motion.

Next, Griswold sought clarity of who would pay Property Builders – contractor performing rehabilitation – on the invoice dated July 24, 2026, for \$82,850. (Griswold Acct Decl. at ¶¶8-9, Exh. A.) As Griswold has taken over the receivership with all responsibility to pay for work performed on the receivership, the responsibility would exist with him.

Finally, under his Opposition to the Approval Motion, Griswold acknowledges receipt of bank statements. However, he is concerned because the bank statements do not explain how \$79,355.94 in certificate proceeds earmarked for rehabilitation, asbestos abatement, exterior painting, and relocation produced \$1,000 in expenditures. He referenced an unexplained \$7,564.93 transfer. (Griswold Mtn Decl. at ¶¶5-6, 11, 13-16.)

In his Reply, Beatty explains the \$7,564.93 transfer was to him for payment of advanced costs. (Beatty Reply Dec. at ¶28.)

The problem with Griswold's concern is that the final accounting is about providing a complete accounting of all costs and repairs. (*County of Sacramento v. Rawat*, supra, 65 Cal.App.5th at pg. 867.) Griswold solely looking at bank records does not render Beatty's accounting detailing the monies received and paid inaccurate. He does not argue or indicate that any bank record contradicts any information within the Final Accounting. He makes no challenge that any listed and invoiced item was improper, unfounded, unreasonable, fraudulent, without authority, or something else.

An independent review of the payments made does not raise any concern, including those challenged by the City, as analyzed above.

Hegwald.

Defendant Hegwald's Oppositions primarily raise his challenge to Decedent executing the Receivership Stipulation in the first place. However, his belief is not evidence. Also, the approval of Beatty's final accounting is not the proper avenue to seek to undo the stipulated receivership.

Hegwald also argues that budgeting something does not equate to the matter having been completed. Yet the issue here is not budgets but a review of the money received and spent.

Conclusion.

Ultimately, the City, Replacement Receiver Griswold, and Hegwald offer no predicate basis to deny approving Former Receiver Beatty's Final Accounting and Report, discharge Receiver Beatty, and exonerate Receiver Beatty's bond.

2. Receiver's Fees and Costs

The fees and costs recoverable must be reasonable and actually incurred. (Health & Saf. Code, §17980.7, subd. (d)(1).)

In the Final Approval Motion, Former Receiver Beatty seeks approval for fees and costs incurred between April 2025 and August 2026, and to recover anticipated fees and costs to finalize the Receivership. The City raises challenges to prior awarded fees and costs.

a. Approved Interim Fees and Costs

On August 14, 2025, the Court, in approving the amended rehabilitation plan, awarded \$51,348.78 in interim fees and costs to Beatty. It reduced the requested \$53,343.78 in fees and costs by \$1,995 related to preparing monthly reports and interim accounting. (Exh. G [p. 3, ¶2] to Final Accounting; Beatty Decl. at ¶58, Exh. E [p. 3, ¶2].) However, of interest, in the April 2025 accounting, Beatty lists the prior balance (i.e., from receivership to March 2025) as totaling \$54,343.78. The difference is not explained. The Court will accept the total fees incurred from receivership inception to March 2025 as \$53,343.78.

In opposing the Final Accounting, Plaintiff City seeks to reduce the awarded interim fees by another \$23,035.43: (i) duplicative fees in preparing the monthly reports (\$4,674), (ii) the fees and costs under the 25th interim report for January 2025 because an itemized statement was not provided (\$3,676.63, which determined by total fees and costs within the 26th interim report [\$50,951.40] reduced by total fees and costs in the 24th interim report [\$47,274.77]), and (iii) the fees and costs under the 32nd interim report for August 2025 because it was not served (\$14,684.80, which determined by total fees and costs within the 33rd interim report [\$75,896.89] reduced by total fees and costs in the 31st interim report [\$61,212.09]).

Rules of Court, rule 3.1183(a) states: "Interim fees are subject to final review and approval by the court. The court retains jurisdiction to award a greater or lesser amount as the full, fair, and final value of the services rendered." Under this provision, the court retains jurisdiction to reconsider any previously awarded interim fees and costs.

Concerning the duplicative fees, the Court already addressed that when it reduced the interim fees by \$1,995. Although this is less than what the City seeks here, there is no reason offered to reconsider this reduction associated with the billing for preparation of monthly reports and interim accounting.

Concerning reduction for all fees within the 25th and 32nd interim reports, Plaintiff City never filed or served objections related to the fees and costs within those interim reports due to failure to include an itemization and/or service. Per Rules of Court, rule 3.1183(b), objections to interim accounting must be filed within 10 days of the notice of the report. City filed no objection after the 25th interim report was served without an itemized statement, or after the 33rd interim report was served indicating a 32nd interim report existed that included fees that were never served upon the City. Finally, it is not offered why the City did not raise these two issues when the Court was asked to approve the interim fees, which necessarily included those sought within the 25th and 32nd interim reports.

Although the Court retains jurisdiction to reconsider interim fees, the City's failure to timely object, together with the Court's prior review and reduction of the requested interim fees, weighs against exercising that discretion here. Ultimately, the City does not establish a basis to further reduce the prior awarded interim fees of \$51,348.78.

b. April 2025-August 2026 Fees and Costs

Exhibit P to Beatty's Declaration is the interim accounting of his fees and costs between April 2025 and August 2026. He seeks \$103,136.82 in fees and costs, which consist of \$80,072.30 in fees and \$23,064.52 in costs.

Now, the City served objections on March 16, 2026, and June 8, 2026, to the November-December 2025 and January-April 2026 interim accountings. (Beatty Decl. at ¶¶61-62, Exhs. R-S.) No objections are noted for the interim accountings of April 2025 through October 2025, and May 2026 and August 2026.

Plaintiff City's objections to the November 2025-April 2026 interim accounting fall into 1 of 4 categories: (1) storage costs, (2) a drone cost, (3) fees to prepare reports, and (4) travel.

Storage Costs. City objects to the following storage costs and the surcharge imposed for advancing the storage cost: (a) \$902 on 11/1/25, (b) \$902 on 12/1/25, (c) \$1,037.30 on 1/1/26, (d) \$1,037.30 on 2/1/26, (e) \$1,037.30 on 3/2/26, and (f) \$1,035.30 on 4/1/26. As analyzed above, it cannot be found that the rental of storage units to hold personal property, including inoperable vehicles, was unnecessary or unreasonable. Beatty had no authority to dispossess Decedent or Hegwald of their personal property, which includes inoperable vehicles. Thus, the items needed to be stored pending the completion of the rehabilitation of the Subject Property. Therefore, the Court denies cutting these costs.

Drone Cost. Plaintiff City states it objects to the \$500 billed on 11/17/25 for Larry Ballesteros's drone video and photography of the Subject Property. However, a review of the interim accounting reveals no such charge. The Court cannot cut what is not sought to be recovered. Even if this fee/cost is located, it is reasonable for establishing the state of the work/repair on the Subject Property.

Report Fees. Plaintiff City objects to the fees sought incurred in preparing status and/or interim reports: (a) \$712.50 on 1/6/26 to prepare November 2025 report (2.5 hours), (b) \$826.50 on 2/20/26 to prepare Sixth Status Report (2.9 hours), (c) \$142.50 on 2/27/26 to prepare December 2025 interim accounting (0.5 hours), (d) \$712.50 on 2/27/26 to prepare December 2025 report (2.5 hours), (e) \$142.50 on 3/30/26 to prepare January 2026 interim accounting (0.5 hours), (f) \$712.50 on 3/30/26 to prepare January 2026 report (2.5 hours), (g) \$142.50 on 4/30/26 to prepare February 2026 interim accounting (0.5 hours), and (h) \$655.50 on 4/30/26 to prepare February 2026 report (2.3 hours). The City argues that the time for preparing these records is unreasonable when considering most of the reports consist of compiled exhibits, and portions are a repeat of the same history.

Initially, 0.5 hours to prepare interim accounting reports is reasonable. Next, even if the reports contain cut-and-paste material and numerous exhibits, time is still required to gather and prepare them. Yet two hours for each would be sufficient, except for the status report, for which a reasonable time is 2.5 hours. This results in cutting 2.2 hours, which at the \$285 rate results in **cutting \$627.00** in the sought fees.

Travel Fees. The City objects to the fees for traveling to and from the Subject Property: (a) \$1,831.50 on 2/23/26 for AK's travel to oversee 1st day of packing and moving of personal property, (b) \$1,850 on 2/24/26 for AK's travel to oversee 2nd day of packing and moving of personal property, and (c) \$610.50 on 4/23/26 for AK's travel to Postal Stop La Mirada to meet with project designer to obtain letter of authorization to release plans.

Plaintiff City takes issue with the travel time on February 23 and 24 because the accounting does not justify what was done. However, the information provided is that AK travelled to oversee the packing of the house. This seems reasonable.

Plaintiff City takes issue with the travel time on April 23 because there was no need for a notarized letter. However, Beatty attests that the City refused to issue building permits to contractor Property Builders because the building permit applicant was KDA, which had gone out of business. The City required Beatty to obtain a notarized letter from the designer authorizing him to obtain building permits on the plans. (Beatty Decl. at ¶41.) Thus, it cannot be said the travel was unnecessary and/or unreasonable.

Based on the above, no fee is reduced for traveling.

In addition to the City's objections, a general review was made of all submitted interim accountings to ensure the fees and costs are reasonable. The following are noted:

- Double charge for reviewing City's Opposition to the Motion to Approve Amended Rehabilitation Plan: 6/25/25 and 6/30/25 for \$57 each. Receiver is not entitled to recover twice for the same work. Therefore, the Court **cuts \$57**.
- Double charge for reviewing City's Ex Parte to Shorten Time for Replacing Receiver Motion: entered twice on 8/5/25 for \$57 each. Receiver is not entitled to recover twice for the same work. The Court **cuts \$57**.
- Internal communications between Beatty and associates (AK or JN): 8/7/25 for \$114, 10/31/25 for \$114, 10/31/25 for \$85.50, 7/2/26 for \$114.00, and 7/8/26 for \$57. It is not demonstrated that the time spent on these internal communications was reasonably necessary for administration of the Receivership Estate. The Court **cuts \$484.50**.
- Review of internal communications: 8/26/25 for \$57, 10/31/25 for \$28.50, 6/9/26 for \$57.00, 11/5/25 for \$28.50, 11/7/25 for \$57, 2/17/26 for \$57, and 2/27/26 for \$114. Although arguably helpful, the time spent reviewing these internal communications is not adequately demonstrated to have been reasonably necessary for administration of the Receivership Estate. The Court **cuts \$399.00**.

These court-based cuts total \$997.50.

The total cuts from Former Receiver Beatty's fees are \$1,624.50 [\$627 (prepare reports) + \$997.50 (double charges, internal communications, and internal reviews)]. No cuts are proposed to the costs.

c. Future Fees and Costs

Former Receiver Beatty seeks to recover an additional \$2,565 in fees and \$208 in costs to finalize his accounting.

The fees are predicated upon 2 hours to prepare for the status review hearing on August 10, 2026, 2 hours to review and submit a response to objections, 4 hours to prepare the Reply to the Oppositions to the Approval Motion, and 1 hour to prepare notice of the court's ruling, to close the bank account, and wind up the estate. (Beatty Decl. at ¶65.) However, the Court record does not reflect that any response to the City's objections was filed. Furthermore, although the Reply filed responded to several oppositions, 4 hours is a bit high. A reasonable time is 3 hours. Also, 2 hours for a status review hearing is overstated. One hour is reasonable. Thus, an additional **\$1,425.00** [\$285 x 5 hours] in fees can be recovered.

The costs are for a \$60 electronic filing fee, \$120 in messenger fees, \$20 in copy charges, and \$8 in postage. (Beatty Decl. at ¶66.) Although the Reply would need to be filed and served, thereby warranting the copy and postage charges, Beatty does not demonstrate any document that will need to be filed or served subject to a filing fee or requiring messenger services. Thus, the Court allows **\$28** in additional costs only.

Conclusion.

Former Receiver Beatty has noted that he has received interim payments for his fees and costs totaling \$80,381.45: (i) \$62,816.52 on September 15, 2025, (ii) \$10,000 on November 26, 2025, and (iii) \$7,564.93 on June 24, 2026. (Final Accounting at p. 10, §VIII, and Exh. K; Beatty Decl. at ¶68; Beatty Reply Decl. at ¶28.) These payments include amounts previously awarded and therefore must be credited against the total fees and costs awarded.

The total awarded fees and costs are **\$154,314.10**, consisting of the previously awarded \$51,348.78, \$101,512.32 for fees and costs incurred between April 2025 and August 2026 after the \$1,624.50 reduction,

and \$1,453.00 in reasonable future fees and costs. After crediting the \$80,381.45 already paid, the remaining amount owed to Former Receiver Beatty is **\$73,932.65**.

	Awarded/Sought Reductions		Total
Interim Awarded Fees & Costs up to March 2025	\$51,348.78	\$0.00	\$51,348.78
Fees & Costs for April 2025-August 2026	\$103,136.82	\$1,624.50	\$101,512.32
Post August 2026 Fees	\$2,773.00	\$1,320.00	\$1,453.00
Total Fees and Costs			\$154,314.10
Less Payments Received			(\$80,381.45)
Grand Total			\$73,932.65

RULING

For all the reasons stated above, the Court rules as follows:

- (1) **APPROVES** Former Receiver Beatty's Final Report and Accounting, subject to reconciliation of the \$0.33 discrepancy concerning the final cash balance;
- (2) **EXONERATES** Former Receiver Beatty's undertaking;
- (3) **AWARDS** Former Receiver Beatty \$154,314.10 in fees and costs, and, after crediting \$80,381.45 in payments already received, **ORDERS** Replacement Receiver Griswold to pay the remaining \$73,932.65 to Former Receiver Beatty from the Receivership Estate within 60 days; and
- (4) **DISCHARGES** Former Receiver Beatty.